



NSUTMUN
DIPLOMACY DIVERSITY DISSENT

United Nations General Assembly **SPECPOL**

Countering neo-Imperialism in
the exploitation of critical
minerals: Safeguarding the
right to self- determination.

Back- ground Guide



LETTER FROM THE EXECUTIVE BOARD

Greetings Members,

This guide was created to serve as a starting point to your research and to give you a brief overview of the subject matter. It is important that you use this document as a reference point for more research and not as an end in itself. It is also important to note that this committee can only be dealt with if you have the willingness to research extensively and translate research into ideas.

The Executive Board as well as the organisers want to make this as comfortable an experience for you as possible. Your comfort will be a priority for us at all times. Do not hesitate at any point to approach us with your doubts. As frivolous as they might sound in your head, trust me, we had them when we were starting out as well. Your confidence will grow bit by bit as you get accustomed to your surroundings in committee. Come with an open mind, come with a willingness to observe and most importantly come with a willingness to try. I have learnt that public speaking is somewhat addictive. Give yourself that first chance and it will grow on you.

I wish you all the best and hope that we can make this an enriching experience for you. We can be reached to address your doubts and queries at all hours.

Regards,
Executive Board

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1. ABOUT UNGA SPECPOL

The United Nations General Assembly's Special Political and Decolonization Committee (SPECPOL), also known as the Fourth Committee, is one of the six main committees of the UN General Assembly. Addressing a broad range of political issues, from decolonization and peacekeeping operations to atomic radiation and the right to information, it serves as a deliberative and recommendatory body where all UN member states can engage on sensitive political and human rights matters, particularly those involving ongoing conflicts and colonial era grievances. The present agenda concerning neo imperialist exploitation of critical minerals and the right to self-determination, falls squarely within SPECPOL's core mandate.

Legal Basis and Authority

SPECPOL derives its mandate from the UN Charter and established General Assembly practice. Articles 10, 11, 13 and 14 collectively empower the General Assembly to discuss matters within the scope of the Charter, promote international cooperation in political fields and recommend measures for the peaceful adjustment of situations that threaten friendly relations among nations. Additionally, Resolution 1654 (XVI) and the work of the Special Committee on Decolonization (C-24) form the backbone of SPECPOL's decolonization mandate, monitoring the progress of Non-Self-Governing Territories (NSGTs) toward self-determination.

Through these provisions, SPECPOL holds a broad political mandate to engage with issues of peace, self-determination and international accountability, though its resolutions take the form of non-binding recommendations rather than legally enforceable decisions.

Role in International Accountability

SPECPOL plays a significant normative and political role in international accountability through several mechanisms:

Decolonization oversight : SPECPOL monitors the situation of NSGTs and hears petitions from inhabitants and NGOs regarding colonial conditions, keeping decolonization on the international agenda and ensuring that the principle of self-determination , including permanent sovereignty over natural resources, remains a live political issue.

Peacekeeping oversight : SPECPOL reviews the mandates, financing and conduct of UN peacekeeping operations, including civilian protection failures and allegations of misconduct by UN personnel.

Resolutions on political situations : SPECPOL can pass resolutions drawing attention to situations where human rights violations intersect with decolonization or self-determination, amplifying political pressure on states through normative rather than legal mechanisms.



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Voting Procedure

SPECPOL operates under the General Assembly's voting framework, where every member state holds one equal vote with no veto power.

A simple majority suffices for procedural questions and routine resolutions, while a two-thirds majority is required for important questions under Article 18 of the UN Charter, including recommendations on peace and security and trusteeship matters.

Challenges and Limitations

Despite its inclusive structure, SPECPOL faces several challenges that limit its effectiveness:

- Non-binding resolutions: SPECPOL outputs carry no legal obligation, meaning states can disregard them without formal consequence, significantly weakening the committee's accountability function.
- Bloc voting and politicization : Regional blocs such as the G77, African Group, Arab Group and Western GRULAC often vote along political lines rather than on the merits of individual situations, leading to selective condemnation and perceived double standards in which states are scrutinized.
- Stalled decolonization agenda : Many NSGTs remain in political limbo due to the geopolitical interests of administering powers and SPECPOL resolutions calling for self-determination are routinely ignored without any mechanism for enforcement or follow-up.
- Limited implementation capacity : SPECPOL has no independent enforcement apparatus and compliance with its resolutions depends entirely on the political will of member states, international pressure and civil society advocacy.

2. KEY DEFINITIONS

2.1. NEO-IMPERIALISM

Neoimperialism refers to the indirect exercise of dominance by powerful states or transnational corporations over economically weaker nations through mechanisms of financial dependency, asymmetric trade arrangements and systematic resource extraction, without resorting to formal territorial annexation.

Unlike classical imperialism, which operated through direct administrative control, neo-imperialism functions through multinational concession agreements, debt conditionality and geopolitical leverage that nominally preserve sovereignty while substantively undermining it.

2.2. CRITICAL MINERALS

Critical minerals are naturally occurring raw materials that are economically and strategically vital to a nation's security, industrial output and technological development, yet face significant supply risk due to geographic concentration of reserves and production. This category includes, but is not limited to, lithium, cobalt, nickel, manganese, rare earth elements, graphite and tungsten, all of which are indispensable inputs to clean energy technologies such as electric vehicle batteries, wind turbines and grid-scale energy storage systems.

Their supply chains are acutely geopolitically contested: global demand has surged in tandem with energy transition imperatives, yet extraction remains heavily concentrated in economically vulnerable regions across Sub-Saharan Africa and Latin America. This structural asymmetry between where minerals are extracted and where value is captured renders critical mineral supply chains a primary theatre for neo-imperial economic relationships.

2.3. RESOURCE SOVEREIGNTY

Resource sovereignty denotes the exclusive authority vested in states to explore, exploit, manage and dispose of their natural wealth in accordance with national development priorities, as codified in GA Resolution 1803 (XVII) and reaffirmed in GA Resolution 3281 (XXIX), the Charter of Economic Rights and Duties of States.

Rooted in post-colonial struggles, this principle extends beyond states to cover indigenous peoples as well. Under Article 26 of the United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP), any extractive project affecting indigenous lands requires their free, prior and informed

consent, recognizing that resource sovereignty is not solely a state-level right but one that must be exercised in accordance with the rights of affected communities.

In practice, resource sovereignty is frequently eroded through stabilization clauses embedded in bilateral investment treaties, which contractually insulate foreign investors from subsequent domestic regulatory changes, a mechanism widely critiqued in SPECPOL debates as structurally incompatible with genuine sovereign control over natural resources.

2.4. EXTRACTION INDUSTRIES

Extraction industries encompass mining, quarrying and drilling operations oriented toward the removal of raw commodities from the earth. These sectors are typically characterized by high capital intensity, long project lifecycles, significant environmental externalities and enclave effects whereby operations function largely in isolation from the broader host economy, limiting employment generation and industrial spillovers.

In the context of critical minerals, extraction industries form the foundational tier of global clean energy supply chains, supplying the raw inputs upon which downstream manufacturing, technology production and energy infrastructure depend. Their governance is regulated through a combination of national mining codes, bilateral investment treaties, production-sharing agreements and increasingly, international environmental and human rights frameworks that seek to align extraction with sustainable development objectives. Critically, extraction industries represent the stage of the mineral supply chain at which resource-rich developing states are most concentrated and from which the majority of environmental, social and economic costs are borne, while value addition and profit accumulation occur at subsequent stages predominantly outside their borders.

2.5 Indigenous peoples

The World Bank describes Indigenous Peoples as “distinct social and cultural groups that share collective ancestral ties to the lands and natural resources where they live, occupy or from which they have been displaced.” The International Labour Organization’s Indigenous and Tribal Peoples Convention, 1989 (ILO Convention No. 169) covers peoples in independent countries who are regarded as indigenous on account of their descent from the populations which inhabited the country at the time of conquest, colonisation or the establishment of present state boundaries and who, irrespective of their legal status, retain some or all of their own social, economic, cultural and political institutions. The convention also covers tribal peoples whose social, cultural and economic conditions distinguish them from other sections of the national community and whose status is regulated wholly or partially by their own customs, traditions or special laws.

While ILO Convention 169 constitutes a binding treaty obligation for its 23 state signatories, its ratification remains limited and excludes many of the states where critical mineral extraction most acutely affects indigenous communities. Beyond this, the concept of indigenous peoples suffers from a fundamental flaw in international law: there is no universally accepted, legally binding definition, despite extensive protections being built around it.

Frameworks like UNDRIP rely on flexible criteria such as self-identification, historical continuity and marginalization rather than a fixed definition, which creates a dangerous ambiguity. This allows states to selectively recognize or deny indigenous status, especially in regions rich in critical minerals, thereby avoiding obligations like consultation and consent. If a state holds the sole power to define who is “indigenous” within its borders, the international protections for self-determination may be rendered operationally nominal in the face of global mineral demand. As a result, the very communities meant to be protected are often excluded from legal recognition, undermining their right to self-determination and enabling exploitation under the cover of legal technicalities.

2.6. RIGHT TO SELF-DETERMINATION

The right to self-determination, enshrined in UNGA Resolution 1514 (XV), the Declaration on the Granting of Independence to Colonial Countries and Peoples affirms the right of all peoples to freely determine their political status and pursue their economic, social and cultural development free from alien subjugation, domination or exploitation.

Recognized as a foundational norm of international law, it is further codified in the International Covenant on Civil and Political Rights (ICCPR) and the International Covenant on Economic, Social and Cultural Rights (ICESCR), both of which affirm in their common Article 1 that all peoples may, by virtue of this right, freely dispose of their natural wealth and resources.

Within SPECPOL’s mandate, the principle operates at two levels. Political self-determination concerns the right of peoples to choose their governance structures free from external interference and remains relevant where resource dependent states face diplomatic or financial pressure that constrains their policy choices in ways that effectively limit their autonomy. Economic self-determination concerns sovereign control over natural resources and development pathways and is the dimension most directly implicated in debates over critical mineral extraction, where the concentration of resource control in foreign hands raises questions about whether formal political independence translates into meaningful economic autonomy. Both dimensions are engaged by this agenda because the erosion of one consistently undermines the exercise of the other.

3. AGENDA IN FOCUS

3.1. Strategic Significance of Critical Minerals

Critical minerals lithium, cobalt, nickel, rare earth elements and graphite, have ceased to be merely economic commodities. They are now the material foundation of the twenty-first century's two defining transitions: the shift to clean energy and the expansion of digital and defense technology. Their strategic significance operates across three interconnected dimensions.

i. The Energy Transition Imperative

The global decarbonization agenda is materially dependent on critical minerals in ways that remain underemphasized in climate policy discourse. Solar energy systems require significant quantities of silicon and silver; electric vehicle batteries depend on lithium, cobalt and nickel; and offshore wind turbines rely on rare earth permanent magnets. According to the International Energy Agency's World Energy Outlook, demand for critical minerals could increase by up to six times current levels by 2040 under ambitious clean energy scenarios.

This dependence creates a structural paradox. While the energy transition is framed as an environmental and developmental imperative, it simultaneously intensifies extractive pressures on some of the world's most ecologically fragile and socially vulnerable regions. The transition is therefore not mineral-neutral; rather, it relocates environmental and social costs from atmospheric emissions to resource extraction on the ground.

ii. Technology, Defense and the Question of Sovereignty

Beyond energy systems, critical minerals underpin the infrastructure of digital economies and modern defense capabilities. Rare earth elements are essential for semiconductors, guidance systems, radar technologies and advanced communications hardware.

Limited or insecure access to these materials creates not only economic constraints but also strategic vulnerabilities. National defense capabilities, telecommunications networks and advanced manufacturing sectors may become dependent on external supply chains. As a result, resource access is increasingly framed not solely as a trade issue, but as a matter of national sovereignty.

This shift is reflected in intensifying geopolitical competition. For instance, Zambia's copper reserves, Indonesia's nickel deposits and Myanmar's rare earth resources have become focal points of competing investment strategies. Major powers, including the United States, the European Union and China, are seeking to secure preferential access through bilateral agreements,

often with limited integration of development priorities of host populations.

iii. Value Chain Exclusion and Structural Dependency

A critical dimension of mineral geopolitics lies not in the location of resources, but in the distribution of value across supply chains. Many resource-rich states remain confined to the extraction and export of raw materials, while value-added processing and manufacturing occur elsewhere.

Guinea, for example, holds nearly half of global bauxite reserves yet exports primarily unprocessed ore, with refining and manufacturing profits accruing abroad. Similarly, Mozambique and Tanzania possess significant global graphite deposits, a mineral indispensable to battery anode production, yet neither country hosts meaningful battery supply chain infrastructure. The Philippines, despite being a major nickel producer, continues to export raw ore while downstream industries remain externalized.

This pattern produces a two-tier global system. Resource-rich countries in the Global South bear the environmental, social and governance costs of extraction, while industrialized and emerging manufacturing economies capture the majority of economic value.

Such outcomes are not merely market-driven inefficiencies. They reflect structural features of the global economic system, including historical underinvestment, asymmetrical trade arrangements and restrictive financial conditions. These factors have systematically constrained the ability of resource-rich states to move up the value chain.

It is this underlying dynamic that constitutes the material basis of contemporary neo-imperial patterns in the critical minerals sector.

3.2. Investment Treaties and the Legal Entrenchment of Extractive Inequality

The systemic asymmetries observed in critical mineral supply chains are not incidental. They are reinforced by an international investment framework that has historically prioritized investor protection over host-state development. Understanding this framework is essential to explaining why resource sovereignty, despite repeated affirmation in United Nations resolutions, often remains difficult to exercise in practice.

i. The Bilateral Investment Treaty Regime and ISDS

The global network of over 3,000 bilateral investment treaties (BITs) forms the legal backbone of the state-corporate model examined in Section 3.3, extending to nominally private but frequently state-backed investors a set of protections that host states cannot reciprocally invoke.

The most consequential of these is the investor-state dispute settlement (ISDS) mechanism, which allows corporations to bypass domestic legal systems entirely and initiate arbitration against host governments before international tribunals when policy changes are perceived to affect investment value. The asymmetry this creates is precise: corporations can sue states for lost profits resulting from regulatory changes but states retain no equivalent mechanism to bring claims against corporations for developmental failures, environmental damage or contract violations.

Sovereign regulatory authority is thereby subordinated to investor protection not through any single agreement but through the cumulative effect of over three thousand interlocking treaties, a legal infrastructure that was built incrementally but operates as a structural constraint on host-state policy space.

ii. Stabilization Clauses and the Paralysis of Sovereign Policy

Stabilization clauses negotiated into concession agreements with the diplomatic support of backing states contractually freeze the regulatory and fiscal environment at signing for periods frequently extending to thirty years, converting the state-corporate asymmetry established at the concession stage into a structural constraint on sovereign policy for decades afterward.

Tanzania's mining renegotiations, Burkina Faso's push for greater state participation in gold mining and Ecuador's windfall profit taxes were all met with ISDS claims or credible arbitration threats, illustrating how the existence of this mechanism produces a chilling effect on regulatory reform regardless of developmental necessity.

iii. The Governance Gap and the Limits of Voluntary Frameworks

Beyond investment agreements, global trade rules under the World Trade Organization can further limit the options available to mineral-rich countries. Under GATT Article XI, export restrictions are generally prohibited, meaning measures that developing economies frequently deploy to incentivize domestic processing such as Indonesia's 2020 nickel ore export ban can be challenged through WTO dispute settlement, as demonstrated when a WTO panel ruled against Indonesia in 2022 following an EU challenge. Local content requirements face similar constraints under the Agreement on Trade Related Investment Measures (TRIMs).

This contributes to a broader institutional imbalance. While investor protections are strongly enforced, corporate responsibilities related to environmental protection, revenue transparency and community rights remain comparatively weak. As a result, extractive practices can continue with limited accountability, particularly in resource dependent regions.

Initiatives such as the Extractive Industries Transparency Initiative and the UN Guiding Principles on Business and Human Rights aim to promote more responsible practices. However, their voluntary nature limits their ability to address deeper structural imbalances.

3.3 The State-Corporate Nexus in Critical Mineral Extraction

The Assumption That Doesn't Hold

A foundational assumption in international resource governance is that states and multinational corporations are categorically distinct actors: states bear sovereign obligations; corporations respond to market incentives and voluntary standards. In the critical minerals sector, this distinction does not describe how extraction operates. It describes a legal architecture whose primary effect is to insulate the most consequential actors from the accountability frameworks designed to govern them.

How Do States Embed Themselves in Extraction?

The mechanisms are specific and well-documented. State development banks such as China's Export-Import Bank, U.S. International Development Finance Corporation, UK's British International Investment and European Investment Bank all finance the majority of large-scale extraction projects in mineral-rich developing states, absorbing risks that commercial markets would not. Export credit agencies insure corporations against political risks in fragile environments. Sovereign wealth funds take direct equity stakes in mining corporations. Home-state embassies and trade ministries participate in concession negotiations alongside corporate representatives. Bilateral investment treaties extend legal protection to nominally private, but often state-capitalized, investors, enabling them to resist host-state regulatory changes through international arbitration.

What Does This Produce at the Negotiating Table?

When a state-backed enterprise negotiates a concession, it brings state capital, diplomatic weight and treaty protections to a table where the host state sits alone, typically without equivalent technical expertise, geological data or legal support. The concession terms that result reflect this asymmetry: long durations, stabilization clauses, export arrangements directing raw material throughput outward, limited local content requirements.

Two Models, Same Logic

China executes this through state-owned enterprises operating under central government industrial mandates, with infrastructure for resources

agreements functioning as state strategies implemented through corporate vehicles. Western engagement operates through nominally private corporations de-risked by state development finance and protected by state-negotiated investment treaties. The fusion is less visible in the Western model but equally consequential for the host state across the table.

The Accountability Gap This Creates

When a host state attempts to renegotiate terms or impose processing requirements, it confronts not merely a corporate counterparty but the institutional weight of a backing state, including diplomatic resistance, arbitration claims and development finance conditionality acting simultaneously. The financial dimension compounds this problem. Transfer pricing, offshore holding structures and management fee arrangements allow the fiscal benefits of extraction to flow outward regardless of the royalty frameworks nominally in place.

Glencore's Mopani Copper Mines in Zambia illustrates this precisely, the Zambian Revenue Authority found that copper was being sold to Glencore's Swiss parent at below-market prices, reducing taxable income in Zambia with Oxfam estimating the resulting tax shortfall at up to \$102 million annually before Zambia's Supreme Court ruled against Mopani in 2020. These processes often operate outside the reach of transparency initiatives and due diligence frameworks.

This nexus forms the analytical foundation for what follows, building on the investment treaty framework established in Section 3.2.

3.4. Human Cost and Sovereignty Violations in the Mineral Economy

In the critical minerals sector, the gap between formally recognized sovereign rights and their practical implementation is reflected in three key challenges: the displacement of communities, limitations in ensuring indigenous consent and environmental degradation affecting vulnerable populations.

Large-scale mining projects are frequently associated with the displacement of farming, pastoral and indigenous communities from resource-rich areas. In the Philippines, the expansion of nickel mining in the Cordillera region has led to documented tensions between corporations, state authorities, and indigenous groups. Ancestral land rights are formally recognized under the Indigenous Peoples Rights Act of 1997, but enforcement has been inconsistent, particularly where mining concessions overlap with ancestrally claimed territories and state economic interests favour project approval. In Zimbabwe, the rapid growth of lithium mining around Bikita and Arcadia has resulted in the relocation of smallholder communities, with civil society organizations raising concerns that compensation mechanisms have been

inadequate and that affected households have had limited recourse through domestic legal channels.

A structural concern across producing regions is that project approvals proceed faster than consultation and grievance processes, reducing affected communities to respondents rather than participants. The United Nations Declaration on the Rights of Indigenous Peoples establishes Free, Prior and Informed Consent as a safeguard, requiring that consent be obtained before project approval, that communities have sufficient time and information to make meaningful decisions and that the process be free from coercion or conditionality. In practice this standard is routinely compressed. In Guatemala, mining licenses in indigenous territories have been granted without adequate consultation, a pattern the Constitutional Court has itself acknowledged, yet enforcement of consultation requirements has remained inconsistent. The absence of binding international enforcement mechanisms means that FPIC functions as a normative standard that states can acknowledge in principle while bypassing in practice.

Environmental impacts compound these governance failures. Mining activities generate water contamination through acid mine drainage and chemical leaching, deforestation from land clearing and infrastructure development and long term soil degradation, consequences that fall disproportionately on communities whose livelihoods depend directly on these ecosystems. These same communities typically face the greatest barriers to accessing legal remedies, benefit-sharing mechanisms and decision-making processes.

This convergence of displacement, consent failures and environmental harm is not incidental to the structure of critical mineral extraction. It is produced by a governance architecture in which project financing, concession approval and supply chain demand are all determined before affected communities are formally engaged, leaving consultation as a procedural formality rather than a substantive check on extractive outcomes.

4. HISTORICAL BACKGROUND

4.1. Colonial Resource Extraction

The historical foundations of contemporary resource governance can be traced to the colonial era, during which European powers established economic systems centered on the extraction of raw materials from colonized territories. Empires such as the British Empire and French Colonial Empire developed colonial economies primarily to supply industrial centers in Europe with minerals, agricultural commodities and energy resources.

Colonial administrations frequently implemented policies that facilitated the large scale extraction of resources with minimal regard for local sovereignty or environmental sustainability. Mining concessions and land rights were often granted to foreign corporations or imperial authorities, while indigenous populations had limited legal protection over their land and natural resources.

These practices established an extractive economic model in which colonies exported raw materials while industrial processing and economic value remained concentrated in imperial centers. Scholars and policymakers argue that this model contributed to long-term economic dependency and structural inequalities in many regions of the Global South.

Although formal colonial rule largely ended after the mid-20th century, the legacy of colonial extraction continues to shape contemporary debates regarding resource sovereignty, economic autonomy and equitable development.

4.2. Rise of Resource Control Movements

Following the wave of decolonization after the Second World War, newly independent states sought to assert control over their natural resources as a means of promoting economic independence and national development. These efforts were frequently described as resource nationalism, reflecting attempts by governments to regulate or nationalize foreign-controlled industries within their territories.

The legal foundation for these claims was significantly strengthened by international law. In 1962, the United Nations adopted UN General Assembly Resolution 1803 on Permanent Sovereignty over Natural Resources. This principle was further reinforced by the adoption of the International Covenant on Civil and Political Rights and the International Covenant on Economic, Social and Cultural Rights, both of which recognize the right of peoples to self-determination and explicitly state that “all peoples may freely dispose of their natural wealth and resources.”

These legal developments provided newly independent states with a normative framework through which they could challenge external control over their natural resources and advocate for a more equitable international economic order. However, the extent to which these principles were realized in practice remained shaped by broader global economic and political dynamics.

4.3. Resource Politics During the Cold War

During the Cold War, natural resources became central to geopolitical competition between the United States and the Soviet Union. Strategic minerals, oil and other natural resources were viewed as critical components of national security, industrial development and military capability.

Resource-rich regions in Africa, Latin America and the Middle East often became sites of geopolitical rivalry, where external powers sought to secure access to key resources through economic assistance, political alliances and investment in extraction industries. The 1953 US and UK-backed overthrow of Iranian Prime Minister Mossadegh followed his nationalisation of the Anglo-Iranian Oil Company. In Chile, Salvador Allende's 1971 nationalisation of US-owned copper mines contributed to the conditions surrounding the 1973 coup backed by the United States. In the Congo, Patrice Lumumba's efforts to assert control over the country's vast mineral wealth, including uranium and copper, preceded his assassination in 1961 with documented CIA involvement. These interventions directly limited the ability of resource-rich states to exercise independent control over their natural resources and established a pattern of external interference that continues to shape resource governance debates today.

4.4. Globalisation and Expansion of Extraction Industries

The late 20th century witnessed the rapid expansion of global trade and investment, which significantly transformed the structure of extractive industries. Advances in technology and transportation enabled multinational corporations to operate mining projects across multiple continents, creating complex international supply chains for minerals and energy resources.

International economic institutions such as the World Trade Organization, the International Monetary Fund and the World Bank played influential roles in shaping global economic policies that encouraged market liberalization and foreign investment in resource sectors. The IMF and World Bank's structural adjustment programmes, imposed as conditions of lending to developing states during the 1980s and 1990s, were particularly consequential requiring recipient states to liberalize investment rules, reduce state ownership in extractive industries and remove export restrictions, systematically dismantling the policy tools through which resource-rich states might

otherwise have retained greater control over their mineral sectors. Zambia provides the clearest illustration: SAP conditionalities required the privatisation of Zambia Consolidated Copper Mines in the 1990s, transferring control of the country's primary revenue source to foreign corporations at terms widely criticised as unfavourable, contributing to decades of copper dependency without industrial diversification.

While globalization facilitated economic development in some regions, it also raised concerns regarding the structure and fairness of global mineral supply chains. In response, various international initiatives emerged to promote transparency and responsible governance within the extractive sector.

Examples include the Extractive Industries Transparency Initiative and the OECD Due Diligence Guidance for Responsible Mineral Supply Chains, which aim to ensure that resource extraction activities respect human rights, environmental standards and good governance practices.

4.5. Modern Competition for Critical Minerals

In the 21st century, the global demand for critical minerals has intensified due to rapid technological advancement and the transition toward low-carbon energy systems. Minerals such as lithium, cobalt, nickel and rare earth elements are essential for the production of electric vehicles, renewable energy infrastructure and advanced electronics. The legal dimensions of resource exploitation also became more visible during this period.

A notable example is the case of Armed Activities on the Territory of the Congo brought before the International Court of Justice, in which the Democratic Republic of the Congo accused Uganda of unlawfully exploiting natural resources during military occupation. The Court's 2005 ruling that such exploitation violated international law marked a significant moment in the development of legal frameworks governing sovereignty and resource extraction, foreshadowing the governance debates that define the critical minerals agenda today.

As demand for these minerals has surged, major economies including China, the United States and members of the European Union have increasingly prioritized securing reliable access to critical mineral supply chains. However, the growing demand for these resources has also raised concerns regarding environmental sustainability, labor conditions and the potential for economic dependency among mineral-producing states. In some cases, foreign investment and corporate involvement in extraction industries have led to accusations of neo-imperialist economic practices, where powerful actors exert disproportionate influence over resource-rich developing states.

The increasing strategic importance of critical minerals in the 21st century has not only intensified geopolitical competition but has also exposed significant gaps in existing global governance mechanisms. These gaps are particularly evident in the limited capacity of existing frameworks to ensure equitable benefit-sharing and effective regulation of transnational actors. As states and multinational corporations expand their involvement in extraction and supply chains, concerns regarding sovereignty, environmental sustainability and human rights have become more prominent. These challenges have led to the evolution of a complex international legal framework aimed at regulating resource governance, protecting state and community rights and promoting transparency and accountability within extractive industries. Understanding these legal instruments and their limitations is essential for evaluating how effectively the international system addresses emerging forms of economic influence and dependency in the critical minerals sector. Across these historical phases, a consistent pattern emerges in which control over natural resources has remained unevenly distributed, raising enduring questions about whether formal sovereignty translates into genuine economic self-determination.

5. Relevant International Conventions and Legal Foundations

The international legal framework governing critical mineral extraction is extensive in its normative coverage and limited in its operational reach. The instruments surveyed below collectively affirm resource sovereignty, community consent, human rights protection and equitable development yet the gap between their declared principles and the extractive realities documented elsewhere in this guide is consistent and wide.

5.1. Key International Conventions and Legal Instruments

5.1.1. United Nations Charter 1945

The Charter provides the legal foundation for principles of sovereign equality and the self-determination of peoples through several key provisions. Article 1(2) explicitly affirms the principle of equal rights and self-determination of peoples, establishing that all nations possess the authority to determine their political status and pursue their economic development independently. Article 2(1) reinforces the sovereign equality of all Member States, while Article 2(7) restricts external intervention in matters essentially within domestic jurisdiction, including the governance of natural resources. Additionally, Articles 55 and 56 promote international economic cooperation and development, implicitly recognizing that control over natural resources is central to achieving equitable global development.

Its affirmation of sovereign equality and self-determination established the normative basis on which newly independent states built their post-colonial resource sovereignty claims, the legal premise that a state's authority over its territory extends to its natural wealth and cannot be overridden by the economic or political interests of more powerful actors.

These provisions underpin the argument that resource-rich states possess the primary authority to determine the terms of extraction, regulate foreign investment and pursue domestic value addition strategies. This includes the right to impose environmental standards, renegotiate concession agreements and prioritize national development objectives over external commercial interests.

However, the practical application of these principles reveals a structural tension central to this agenda. While the UN Charter affirms sovereign control over resources, contemporary global economic governance frameworks, particularly international investment agreements and investor-state dispute settlement (ISDS) mechanisms, can constrain the ability of states to

exercise this sovereignty without facing legal and financial repercussions. This creates a gap between formal sovereignty, as recognized under the Charter, and substantive sovereignty, as experienced in practice.

5.1.2. International Covenant on Civil and Political Rights (ICCPR) 1966

Adopted in 1966, the International Covenant on Civil and Political Rights (ICCPR) establishes binding obligations on states to respect and protect fundamental civil and political rights. While traditionally associated with individual freedoms, the Covenant holds significant relevance in the governance of critical mineral extraction, particularly where state policies and corporate activities intersect with the rights of affected communities.

A central provision is Article 1, common to both the ICCPR and ICESCR, which affirms that “all peoples have the right of self-determination” and may “freely dispose of their natural wealth and resources.” This establishes a direct legal connection between political self-determination and economic sovereignty, reinforcing the principle that resource governance must reflect the will and interests of the people.

In addition, several substantive rights under the ICCPR are directly implicated in extractive contexts. Article 6 (right to life) has been interpreted by the Human Rights Committee to include protection from environmental harm that threatens survival. Article 7 prohibits cruel, inhuman or degrading treatment, which may arise in contexts of forced displacement, unsafe labor conditions or environmental degradation caused by mining activities. Article 9 protects against arbitrary detention, relevant in cases where protestors or community leaders opposing extractive projects are detained. Article 25 guarantees participation in public affairs, reinforcing the right of communities to be meaningfully involved in decisions affecting their land and resources.

5.1.2. International Covenant on Civil and Political Rights (ICCPR) 1966

Adopted in 1966, the International Covenant on Civil and Political Rights (ICCPR) establishes binding obligations on states to respect and protect fundamental civil and political rights. While traditionally associated with individual freedoms, the Covenant holds significant relevance in the governance of critical mineral extraction, particularly where state policies and corporate activities intersect with the rights of affected communities.

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However, the effectiveness of the ICCPR in regulating extractive governance is constrained by structural limitations. The Covenant binds states rather than corporations, meaning that accountability for violations arising from multinational corporate activity depends on domestic enforcement. Furthermore, oversight mechanisms such as the Human Rights Committee primarily issue non-binding recommendations, limiting enforceability.

This creates a critical tension within the agenda: while the ICCPR affirms that peoples have the right to control their natural resources, the institutional framework for enforcing these rights remains insufficient in the face of complex transnational extractive systems.

5.1.3. International Covenant on Economic, Social and Cultural Rights (ICESCR, 1966)

The International Covenant on Economic, Social and Cultural Rights (ICESCR) establishes a legal framework requiring states to ensure that economic development contributes to the realization of fundamental human rights. In the context of critical mineral extraction, the Covenant is particularly significant as it directly links resource governance to social welfare, labor conditions and equitable development.

As with the ICCPR, Article 1 affirms that all peoples have the right to self-determination and may freely dispose of their natural wealth and resources. This provision establishes that resource extraction must not only be sovereign in form but also beneficial in substance, contributing to the well-being of the population.

Several substantive rights under the ICESCR are directly engaged in extractive contexts. Article 6 (right to work) and Article 7 (just and favorable conditions of work) are relevant in assessing labor conditions within mining industries, particularly in regions where unsafe or exploitative practices persist. Article 11 (right to an adequate standard of living) is implicated where displacement or environmental degradation undermines livelihoods, while Article 12 (right to health) addresses the impacts of pollution, water contamination and ecological damage associated with mining activities.

A key feature of the ICESCR is the principle of progressive realization, which requires states to take steps, to the maximum of their available resources, to improve living conditions over time. In the context of critical minerals, this establishes a standard against which the developmental outcomes of extraction can be evaluated. Where mineral wealth does not translate into improvements in public welfare, infrastructure or social services, questions arise regarding compliance with ICESCR obligations.

The Covenant's structural constraint, its reliance on progressive realization, allows for flexibility in implementation, which may be invoked by states to justify limited progress. Additionally, like the ICCPR, it lacks direct mechanisms to regulate multinational corporations, and enforcement depends largely on domestic institutions and periodic reporting to the Committee on Economic, Social and Cultural Rights.

5.1.4. UNGA Resolutions on Permanent Sovereignty over Natural Resources (1803/1962, 3201/1974)

Adopted during the period of decolonization, UN General Assembly Resolution 1803 (1962) on Permanent Sovereignty over Natural Resources and Resolution 3201 (1974) on the Establishment of a New International Economic Order form the cornerstone of international legal principles governing resource sovereignty.

Resolution 1803 affirms that states have the "inalienable right to freely dispose of their natural wealth and resources" in accordance with national interests and development priorities. It explicitly recognizes the authority of states to regulate foreign investment, determine extraction terms and, where necessary, nationalize resources, subject to appropriate compensation. Resolution 3201 further expands this framework by advocating for equitable economic relations, fair pricing of raw materials and greater participation of developing countries in global economic decision-making.

These resolutions provide the normative foundation for claims that resource-rich states should control and benefit from their critical mineral resources, including the ability to pursue domestic processing, impose export restrictions and renegotiate concession agreements.

In the context of critical minerals, these principles are directly relevant to contemporary debates on value chain inequality. They support the argument that developing states should not remain confined to raw material export but should have the policy space to move into higher-value stages of production.

However, the practical implementation of these principles is significantly constrained. As General Assembly resolutions, they are non-binding, and their enforcement depends on political will rather than legal obligation. Moreover, ambiguities regarding compensation standards in cases of nationalization have been interpreted through investment law frameworks that often favor

investor protection. This creates a structural tension between the normative framework of resource sovereignty and the binding obligations imposed by international investment agreements. While Resolution 1803 affirms the right of states to control their resources, investment treaties and ISDS mechanisms may penalize attempts to exercise that right, effectively limiting substantive sovereignty.

Thus, these resolutions articulate the ideal of resource sovereignty, but their realization remains contingent on broader reforms in global economic governance.

5.1.5. UN Declaration on the Rights of Indigenous Peoples (UNDRIP, 2007)

The United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP) represents a comprehensive framework for protecting the rights of indigenous communities, particularly in relation to land, resources and cultural preservation. Its relevance to critical mineral extraction is profound, as many mineral deposits are located on or near indigenous territories.

A central provision of UNDRIP is Article 32, which establishes that states must obtain the free, prior and informed consent (FPIC) of indigenous peoples before approving projects affecting their lands or resources. This requirement transforms indigenous communities from passive stakeholders into rights-holders with a recognized role in decision-making processes. Article 26 further affirms their rights to lands, territories and resources traditionally owned or used, while Article 10 prohibits forced relocation without consent and adequate compensation.

These provisions establish that extraction projects must not only be economically viable but also socially legitimate. They require that communities be meaningfully consulted, adequately compensated and actively involved in decisions affecting their livelihoods and environments. However, the implementation of UNDRIP faces significant challenges. As a non-binding declaration, its provisions rely on incorporation into domestic law for enforceability. In practice, FPIC is often interpreted as a requirement for consultation rather than consent, reducing its effectiveness. Additionally, indigenous communities frequently lack access to legal resources necessary to challenge violations, particularly in jurisdictions where state and corporate interests are closely aligned.

This creates a critical gap between normative recognition and practical enforcement. While UNDRIP establishes strong principles for community participation and protection, the absence of binding international mechanisms limits its ability to prevent displacement, environmental harm and exclusion from decision-making processes.

5.1.6. Extractive Industries Transparency Initiative (EITI) 2003

Established in 2003, the Extractive Industries Transparency Initiative (EITI) is a global governance framework designed to improve transparency and accountability in the management of revenues from oil, gas and mineral resources. The initiative seeks to ensure that revenues generated from extractive industries contribute to sustainable development rather than being lost through mismanagement or unequal agreements.

Participating states commit to publishing information regarding contracts, licenses, production data and payments made by companies to governments, while also establishing multi-stakeholder groups that include government, industry and civil society representatives to oversee reporting processes. These requirements are operationalized through the EITI Standard, which mandates disclosure across the extractive value chain, from licensing and contract allocation, to revenue collection and distribution.

These transparency provisions are particularly relevant in the context of critical minerals, where complex ownership structures, cross-border financial flows and long-term concession agreements often obscure the true distribution of economic benefits. By requiring disclosure of beneficial ownership and revenue streams, EITI seeks to enable public scrutiny of agreements between states and multinational corporations, thereby strengthening domestic accountability mechanisms.

In relation to this agenda, EITI contributes to the realization of resource sovereignty under UNGA Resolution 1803, by equipping states and citizens with the information necessary to assess whether resource governance aligns with national development objectives. It also indirectly supports rights under the ICESCR, particularly in evaluating whether extractive revenues are being translated into improvements in living standards, infrastructure and public services.

However, the effectiveness of the initiative remains limited by several structural challenges. Participation is voluntary and compliance mechanisms rely primarily on peer review and reputational pressure rather than binding enforcement. As a result, states may formally comply with disclosure requirements while underlying governance practices remain unchanged. Furthermore, EITI reporting frameworks may not fully capture informal or artisanal mining activities, which constitute a significant share of mineral production in several regions, particularly in the Global South. The initiative also has limited capacity to address complex financial practices such as transfer pricing, profit shifting and tax avoidance by multinational corporations, mechanisms through which substantial resource revenues may be diverted away from host states despite formal transparency.

5.1.7. OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict Affected and High-Risk Areas (2011)

Developed in 2011 by the Organisation for Economic Co-operation and Development (OECD), the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas was created to address growing international concerns that mineral extraction and trade in conflict regions were contributing to human rights abuses, armed violence and exploitative supply chains.

As global demand for minerals used in electronics and renewable technologies increased, the guidance aimed to promote responsible sourcing practices by requiring companies to identify, assess and mitigate risks within their mineral supply chains. The framework outlines a structured five-step due diligence process, including the establishment of company management systems, risk identification and assessment, implementation of mitigation strategies, independent third-party audits and public reporting on due diligence efforts.

These measures are intended to increase transparency and accountability in the trade of minerals such as tin, tantalum, tungsten and gold, often referred to as “conflict minerals.” The guidance has also influenced binding domestic regulations, including provisions of the Dodd-Frank Act in the United States and the European Union Conflict Minerals Regulation, demonstrating how voluntary international standards can shape enforceable national legislation.

In the context of this agenda, the OECD Guidance contributes to the protection of human rights within extractive supply chains, particularly in conflict-affected regions. It aligns with broader international legal principles, including protections under the ICCPR (Articles 6 and 7) and ICESCR, by encouraging companies to avoid practices that contribute to violence, forced labor or environmental harm.

More fundamentally, the due diligence model focuses on mitigating visible risks such as conflict financing and human rights abuses, without addressing the broader structural dynamics of global supply chains. Companies can comply with all procedural requirements while continuing to operate within systems that confine producing states to raw material extraction and limit local value addition.

This creates a critical gap between procedural compliance and structural transformation. The guidance regulates how minerals are sourced, but not how value is distributed across the supply chain.

5.2. Critiques of the International Legal Framework

While these frameworks establish important principles, their effectiveness in practice remains debated. They are not deficient for lack of principles i.e. sovereignty over natural resources, community consent, environmental protection and equitable development are all recognized across multiple instruments. The deficiency lies elsewhere: in the consistent absence of binding enforcement mechanisms capable of reaching multinational corporations and in the structural asymmetry between the legal obligations placed on resource-holding states and the near-total absence of equivalent obligations on the technologically and financially dominant actors that extract, process and profit from those resources.

5.2.1. Third World Approaches to International Law (TWAIL)

TWAIL's contribution to this debate extends beyond the observation that international law has historically favored powerful states. Its analytical strength lies in identifying the mechanism through which this imbalance is reproduced. Foundational principles such as sovereign equality, freedom of contract and investment protection were developed and institutionalized during periods of colonial expansion, in contexts where negotiating parties were structurally unequal. As a result, legal frameworks often functioned to legitimize extractive relationships rather than to constrain them.

This architecture did not disappear with formal decolonization, it was inherited and embedded within contemporary global governance systems. Modern investment treaties protect foreign investors against regulatory changes by host states through provisions such as stabilization clauses and investor-state dispute settlement (ISDS). These protections operate asymmetrically: they constrain the ability of developing states to restructure their mineral sectors while leaving the industrial strategies of processing-dominant economies unaffected.

Under ISDS mechanisms, corporations can initiate arbitration against host states, often through tribunals such as ICSID, seeking compensation for regulatory measures that affect expected profits. This creates a legal environment in which attempts to increase royalties, impose environmental standards or mandate domestic processing may trigger significant financial liability.

As a result, the formal recognition of resource sovereignty coexists with an investment regime that can penalize its exercise. TWAIL identifies this not as a contradiction to be resolved through incremental reform, but as a structural feature of an international legal order whose internal logic continues to reproduce unequal exchange relationships.

5.2.2. Eurocentrism in International Law

The Eurocentrism critique operates at a more specific level, focusing on how contemporary governance frameworks are structured and whose interests they primarily serve. It argues that international regulatory mechanisms, particularly those relating to transparency, sustainability and responsible sourcing, are calibrated to address the concerns of industrialized consuming states rather than those of producing states and local communities.

Due diligence standards, conflict mineral regulations and sustainability conditionalities place compliance burdens primarily on suppliers, resource-rich developing states and their export industries, while leaving the structural terms of global supply chains largely unchanged. Questions of where processing occurs, who captures refining margins and how concession agreements are structured remain outside the scope of most governance frameworks.

Investor-state dispute settlement mechanisms make this imbalance concrete. A developing state attempting to impose export restrictions, local processing requirements or higher royalty rates may face arbitration claims from foreign investors alleging treaty violations. By contrast, no equivalent mechanism exists through which producing states or affected communities can hold multinational corporations accountable for the structural extraction of value.

This asymmetry transforms regulatory frameworks into tools of constraint rather than instruments of redistribution.

5.2.3. Structural Disadvantages for Developing Nations

The concept of the “resource curse” is often framed as an economic paradox, resource wealth producing poor developmental outcomes. However, the underlying mechanism is more precise: mineral wealth, in the absence of processing capacity, institutional strength and bargaining power, produces structural dependency on external actors who possess all three.

This dynamic is evident across multiple contexts. The Democratic Republic of the Congo, despite accounting for approximately 70% of global cobalt production, captures only a limited share of downstream value, with processing and manufacturing concentrated elsewhere. Similarly, Zambia’s copper sector has generated sustained export revenues without achieving significant industrial diversification. Indonesia’s attempt to alter this dynamic through nickel export restrictions demonstrates that while structural positions are not immutable, efforts to change them often encounter resistance under international trade and investment frameworks.



The deeper structural constraint lies in the financial architecture through which value is extracted from host-state economies. Multinational corporations deploy mechanisms such as transfer pricing, thin capitalization and offshore holding structures to shift profits to low-tax jurisdictions, reducing the fiscal returns available to producing states regardless of nominal royalty rates or equity participation.

Initiatives such as the Extractive Industries Transparency Initiative (EITI) can identify discrepancies between production volumes and government revenues, but they lack the capacity to regulate the corporate financial structures that generate these gaps. This limitation persists because the actors involved often operate across multiple jurisdictions, and efforts to impose binding international regulation have faced sustained political resistance.

This raises a central question for this agenda: can international legal frameworks be restructured to align investor protection with genuine resource sovereignty, or are these objectives fundamentally in tension?

Addressing this question requires moving beyond the reaffirmation of existing principles and toward confronting the specific legal, financial and institutional mechanisms through which those principles are systematically undermined.

This gap between legal principle and structural reality is not self-correcting. It is actively shaped by the actors who benefit from it and actively contested by those who bear its costs. Understanding how critical mineral governance actually operates therefore requires moving beyond the normative framework and examining the specific interests, strategies and constraints of the states, corporations and communities whose conduct determines whether international principles are given effect or systematically circumvented and will be discussed in further sections.

6. Global Outlook

6.1. Major Global Powers and Strategic Mineral Consumers

6.1.1. United States

The United States treats critical minerals as a direct national security concern, embedded in its industrial and energy transition strategy. Its structural import dependence for gallium, graphite, manganese and rare earth elements, with China supplying the dominant share of processed supply represents an acknowledged vulnerability in defense manufacturing, clean energy infrastructure and advanced technology sectors. In response, the US has pursued supply chain diversification through the Minerals Security Partnership with Japan, Australia, Canada and European partners, increased financial engagement in overseas mining and processing through the International Development Finance Corporation and the Export-Import Bank and attempted to revive domestic production through facilities such as the Mountain Pass mine, constrained as that effort remains by environmental permitting timelines and local opposition.

The US has embedded critical mineral supply chain security directly into its energy transition legislative architecture. The Inflation Reduction Act of 2022 is the primary instrument through which this has been operationalized, conditioning electric vehicle tax credits and clean energy incentives on domestic content requirements and sourcing from free trade agreement partners, effectively using market access as a mechanism to redirect critical mineral supply chains toward US-aligned producers. Investment in lithium extraction projects across the Lithium Triangle Argentina, Bolivia and Chile reflects the extent to which the US energy transition strategy depends on minerals sourced from developing states.

The tension this creates is direct. The United States is simultaneously a proponent of a rules-based international order and a primary driver of the extraction pressures that mineral-rich developing states and communities experience most acutely. The Minerals Security Partnership and DFC investment frameworks are presented as development-oriented alternatives to Chinese infrastructure for resource arrangements, but from the perspective of host states, the distinction matters less than the specific terms on which finance is offered. Concession durations, equity participation requirements, export arrangements and processing location determine whether these partnerships genuinely support sovereign industrial development or primarily secure US supply chain access. The framing is one of partnership rather than conditionality; whether the outcomes differ structurally is what producing states are left to negotiate. The domestic

dimension of sovereignty is equally present: efforts to expand mining within the United States itself have faced significant community and environmental opposition, illustrating that resource sovereignty tensions are not confined to the Global South. At the same time, U.S.-backed investments also influence extraction patterns in developing regions, raising similar questions regarding external involvement.

6.1.2. China

China has achieved the most vertically integrated position in global critical mineral supply chains of any single actor, spanning extraction, processing, manufacturing and export policy coordination. State-backed enterprises hold significant ownership stakes in the DRC's largest cobalt-copper mines, secured through acquisitions, joint ventures and infrastructure agreements. In rare earth elements, China controls approximately 90% of global refining and separation capacity and over 60% of global cobalt refining, figures that significantly exceed its share of reserves and reflect deliberate industrial policy investment over decades rather than geological endowment alone.

China's integration into the energy transition supply chain is total rather than partial. Its dominance in cobalt refining directly underpins global lithium-ion battery production for electric vehicles. Its control over rare earth processing feeds the permanent magnet industry essential for electric motors and wind turbines. Belt and Road infrastructure (BRI) agreements, which finance roads, ports and power facilities in resource-rich regions in exchange for long-term mineral access, have accelerated extraction capacity in producing states, while raising concerns that the resulting supply chain architecture does not develop local processing capacity and instead reproduces the raw-export dependency that resource sovereignty frameworks were designed to dismantle. The Sicomines agreement in the DRC, signed in 2008, is the most documented example: Chinese firms received a 68% stake in a copper-cobalt joint venture in exchange for approximately \$9 billion in infrastructure investment, yet audits later found Chinese companies had earned nearly \$10 billion in profits while the DRC received only \$822 million in infrastructure returns, prompting President Tshisekedi to renegotiate the deal in 2023.

For host governments, the capital and infrastructure are tangible. The extent to which concession terms allow producing states to capture value beyond the extraction stage determines whether BRI engagement represents development or a more institutionally sophisticated version of the same structural relationship. The outcome varies by agreement and partner and both patterns are documented across different Belt and Road contexts.

China's engagement with resource sovereignty is most legibly read through its infrastructure-for-resources model. For host governments, these arrangements provide capital and physical infrastructure that would otherwise be unavailable, enabling mineral development at scale. However, long-term concession terms, foreign equity concentration and the routing of

processing to Chinese facilities constrain the host state's practical ability to renegotiate, regulate or redirect its mineral economy toward domestic industrial development, limiting sovereignty even where formal state ownership is nominally preserved. What resource sovereignty movements envisioned for developing states have instead been achieved by a major industrial power, further entrenching the processing-stage concentration that resource-rich developing states have sought to challenge since decolonization.

6.1.3. European Union

The EU's strategic exposure in critical minerals is acute: it sources most of its rare earth elements, magnesium and substantial proportions of its lithium, cobalt and nickel from foreign suppliers, with domestic production meeting only a small fraction of requirements. The Critical Raw Materials Act reflects this by setting explicit targets 10% domestic extraction, 40% domestic processing and no more than 65% dependence on any single third country by 2030 making mineral supply chain diversification a legally embedded industrial policy objective. Strategic partnership agreements with Chile, Namibia, Kazakhstan and several African states and the exploration of domestic deposits in Portugal and Sweden, form the operational pillars of this strategy alongside significant investment in recycling and circular economy infrastructure to reduce primary mineral demand.

The EU's energy transition ambitions are directly contingent on securing reliable critical mineral supply chains. Its targets for electric vehicle adoption, wind energy expansion and grid-scale storage all carry implicit mineral demand requirements that domestic production cannot meet. The EU's approach attempts to differentiate itself from purely extractive models by embedding environmental protection, labor rights and regulatory transparency standards into its mineral partnerships, a recognition that the legitimacy of the energy transition depends partly on the conditions under which the minerals enabling it are sourced. However, from producing states' perspectives, sustainability conditionalities attached to EU market access can function as regulatory barriers that disadvantage exporters lacking the institutional capacity to comply, raising questions about whether these standards serve mutual development objectives or primarily protect European market interests.

The EU's engagement with resource sovereignty is most visible in the governance conditionalities it attaches to mineral partnerships. By requiring environmental standards, transparency in revenue reporting and community consultation processes as conditions of cooperation agreements, the EU inserts itself into the domestic regulatory environment of partner states in ways that can be read either as genuine governance support or as an external imposition of standards shaped by European priorities rather than local development needs. The circular economy investment strategy recovering critical minerals from electronic waste and used batteries within Europe has

a different sovereignty implication: it reduces EU dependence on primary extraction while also reducing the long-term revenue stream available to producing states as global demand for virgin minerals potentially plateaus. Whether producing-state interests are adequately represented in EU supply chain governance frameworks, or whether those frameworks are designed primarily with European industrial and climate objectives in mind, is a live question in EU relations with African and Latin American mineral partners.

6.2. Structural Dynamics and Emerging Concerns

6.2.1. Mineral-Rich Developing States

The central paradox of mineral-rich developing states is not a lack of resources but a lack of structural positioning within the supply chains those resources feed. Countries including the DRC, Chile, Argentina, Bolivia and Indonesia possess the reserves that underpin the global energy transition, yet their participation in the resulting economic value is confined almost entirely to the extraction stage – the least profitable point in a supply chain whose value compounds at every subsequent stage of processing, refining and manufacturing. This is not incidental. It reflects a structural logic in which capital intensity, technological complexity and processing expertise concentrated in industrialized economies and in China specifically function as barriers to entry that prevent producing states from moving up the value chain regardless of the formal sovereignty they hold over the resource itself.

The dependence runs deeper than extraction. Exploration, geological surveying and the identification of commercially viable deposits are themselves predominantly conducted by foreign corporations and state-backed entities that possess technical capabilities unavailable domestically. This means host states are dependent on external actors at the stage prior to extraction – before a single ton of ore is removed. Long-term concession agreements negotiated from this position of informational and technical asymmetry can lock in terms that limit renegotiation rights and regulatory flexibility for decades, compounding the structural disadvantage at every subsequent stage. This pattern is reflected in Zambia's long-standing dependence on copper exports, where repeated efforts at economic diversification have failed to reduce reliance on raw mineral exports, leaving the country exposed to global price volatility while limiting the development of domestic processing and manufacturing capacity.

6.2.2. Local and Indigenous Communities

If mineral-rich states occupy the least profitable position in global supply chains, local and indigenous communities occupy the most exposed one absorbing the physical costs of extraction while sitting furthest from the mechanisms through which its economic benefits are distributed. The pattern is consistent across producing regions, including Haut-Katanga province in the DRC and indigenous communities in the Atacama Desert in Chile:

land displacement, water contamination, environmental degradation and chronic health risks from dust and chemical exposure are concentrated in communities living adjacent to extraction sites, while employment is limited, profits flow outward to external corporate actors or national-level entities and the infrastructure built to service mining operations rarely translates into sustained local development.

What makes this analytically significant is not simply the distributional inequality but the decision-making architecture that produces it. Mining projects in indigenous territories are typically initiated, financed and technically designed by external actors before affected communities are consulted, if they are consulted at all. UNDRIP's FPIC requirement which demands that consent be free, prior and informed is structurally difficult to enforce in contexts where the state itself has strong fiscal incentives to approve projects and where communities lack the legal resources to challenge approvals domestically or internationally. The gap between FPIC as a legal norm and FPIC as an operational precondition is therefore not primarily a compliance failure but a structural one: the governance frameworks designed to protect community rights were not built with enforcement mechanisms capable of overriding the convergent interests of states, corporations and consuming-economy governments in securing supply.

6.2.3 Multinational Corporations: Accountability Without Obligation

The state-corporate nexus established earlier produces a specific accountability problem that the existing international governance architecture has not resolved. The entities most capable of shaping extractive outcomes in mineral-rich developing states are simultaneously the least subject to binding international obligation. This dynamic is visible in the role of major corporate actors such as CATL, which dominates global battery manufacturing and secures upstream supply through long-term procurement arrangements, and Glencore, one of the largest cobalt producers operating extensively in the DRC. These corporations occupy critical positions across different stages of the supply chain, reinforcing the concentration of value capture outside producing states while remaining embedded within the broader state-backed and investment-protected framework described above.

The leverage that state-backed corporations hold over host states at the concession stage derives from a specific package of advantages that host states cannot replicate domestically. These include exploration technology and geological expertise to identify viable deposits, the capital scale required to finance operations, proprietary processing technology, guaranteed offtake relationships with end-use manufacturers and the diplomatic weight of the backing state in negotiations. Because host states depend on this entire package simultaneously, the negotiating dynamic is structurally asymmetric before a single legal term is discussed.

State backed multinational corporations have been under pressure from consuming-economy regulatory environments, progressively adopting sustainability reporting, supply chain due diligence commitments and corporate social responsibility frameworks. These instruments have produced genuine improvements in specific operational areas, including occupational safety standards, environmental monitoring protocols and community liaison processes. Their structural ceiling is consistent. They address the visible dimensions of extraction while leaving the financial architecture of value transfer entirely untouched. A corporation can satisfy every ESG disclosure standard and complete every step of OECD due diligence while ensuring, through transfer pricing and offshore holding structures, that the fiscal benefits of mineral extraction flow to its shareholders and backing state rather than to the host economy. The backing state has every institutional incentive to preserve the legal environment that makes this possible and every diplomatic and legal instrument to resist host-state attempts to change it.

The accountability gap this produces is not a question of corporate bad faith. It is a question of legal architecture whose circularity is precise. International human rights law binds states, not corporations. Investment law protects corporations while constraining the regulatory authority of host states. The burden of controlling corporate conduct falls on host-state domestic law, precisely the legal system that stabilization clauses and investment treaty protections are designed to insulate corporate operations from. The governance reforms that would break this circularity include binding corporate human rights obligations with enforceable international mechanisms, mandatory beneficial ownership and transfer pricing disclosure in extractive contracts, and reform of stabilization clause permissibility under international investment law. These are reforms that consuming-economy states have consistently declined to advance in multilateral forums because the current framework serves their strategic interests in securing mineral supply chains on favorable terms.

The committee's engagement with multinational corporation accountability therefore cannot be limited to strengthening voluntary standards. It must address the state-level decisions, including those on investment treaty design, development finance conditionality, and diplomatic support in concession negotiations, through which consuming-economy governments extend their strategic interests through corporate vehicles. Corporate accountability and state accountability are not separable questions in the critical minerals sector. They are two dimensions of the same structural problem, and governance interventions that address only one will be systematically circumvented through the other.

6.2.4. Resource Sovereignty and the Right to Self-Determination

Resource sovereignty is frequently treated as a settled principle. The more

analytically difficult question is why, given this legal architecture, global critical mineral supply chains continue to reflect patterns of raw material dependency that the resource sovereignty framework was explicitly designed to dismantle. The answer lies in the distinction between formal and substantive sovereignty. Formal sovereignty, the legal right to control one's natural resources, exists. Substantive sovereignty: the practical capacity to exercise that right on equal terms with the actors one is negotiating with requires capital, technology, processing infrastructure and institutional capacity that most mineral-rich developing states do not yet possess and that existing international frameworks do not systematically provide.

The mechanisms through which formal sovereignty is hollowed out are specific and identifiable i.e. stabilization clauses in bilateral investment treaties that freeze the regulatory environment at the time of signing, removing the state's ability to impose new environmental or revenue-sharing requirements; investor-state dispute settlement provisions that allow foreign corporations to challenge domestic policy changes before international arbitral tribunals; and export-oriented supply chain structures that reward raw material throughput over domestic value addition. A recent example is Indonesia's nickel export ban, which was challenged by the European Union at the World Trade Organization and ruled against in 2022. The case illustrates how attempts by resource-rich states to promote domestic value addition can be constrained by existing international trade rules.

At the community level, self-determination faces an analogous gap. The right to participate in decisions affecting one's territory is formally recognized across international human rights instruments and domestic constitutional frameworks in most producing states but formal recognition does not translate into practical capacity. Communities initiating legal challenges against mining approvals typically lack the financial resources to sustain prolonged litigation, the technical expertise to contest environmental impact assessments produced by well-resourced corporate consultants, or access to international dispute resolution mechanisms that might hold both states and corporations accountable. Information asymmetry compounds this: by the time a community is formally consulted, the project's financial architecture, concession terms and infrastructure commitments are already fixed making consent a ratification exercise rather than a genuine decision-making moment.

The pattern that emerges across mineral-rich developing states and the communities within them is therefore not one of legal absence but of structural displacement existing rights systematically outpaced by the economic and institutional weight of the actors seeking access to the resources those rights are meant to protect. Closing this gap requires more than reaffirming principles already enshrined in international law. It requires identifying the specific mechanisms of stabilization clauses, investor-state dispute settlement provisions, export-oriented concession structures, underfunded consent processes through which formally recognized

sovereignty is rendered operationally nominal and designing governance interventions that target those mechanisms directly rather than the principles they undermine.

The two case studies that follow are selected precisely because they make this structural argument concrete. The DRC cobalt sector and the Lithium Triangle do not simply illustrate neo-imperialist dynamics in the abstract; they expose the specific points in the supply chain governance architecture where sovereignty breaks down, where community rights are bypassed and where the distance between international legal principle and extractive reality is widest.

7. Case Studies

7.1. Case Study: Cobalt Mining in the Democratic Republic of the Congo (DRC)

The Democratic Republic of the Congo (DRC), particularly the Katanga region, remains central to the global cobalt supply chain, accounting for approximately 65–70% of the world's total cobalt production, a critical component of lithium-ion batteries utilized in electric vehicles and electronic devices. This concentration of supply has elevated the DRC's strategic importance in global energy and technology supply chains, increasing external interest and influence over its mineral sector. Major actors in this sector include multinational corporations such as Glencore and China Molybdenum, which control key concessions and processing operations.

The DRC has opened its mining industry to international investment in order to foster economic growth, with substantial involvement from Western multinational corporations and Chinese state-backed enterprises. These actors justify their presence on the grounds of infrastructure development, employment generation and capital infusion into a historically underdeveloped economy. However, despite its vast resource wealth, the DRC captures only a limited share of downstream economic value, as refining and battery production largely occur outside its borders.

This structural imbalance is reinforced through long-term concession agreements, foreign-controlled processing infrastructure and export-oriented supply chains, which limit the state's ability to move up the value chain. As a result, while the DRC retains formal ownership over its resources, substantive control over pricing, processing and value addition remains externalized.

At the community level, the human cost of extraction remains significant. There are documented instances of child labor, hazardous working conditions and artisanal mining practices that expose workers to severe health risks. In addition to displacement, environmental degradation and water contamination, industrial mining activities have also been linked to long-term public health concerns and ecosystem damage.

This situation engages core principles of international law, particularly UNGA Resolution 1803 on Permanent Sovereignty over Natural Resources, alongside ICCPR Article 6 (right to life) and ICESCR Articles 11 and 12 (adequate living standards and health). The lack of effective consultation mechanisms further implicates UNDRIP provisions on Free, Prior and Informed Consent (FPIC), particularly in cases where communities are displaced or excluded from decision-making processes.

A key legal tension emerges between formal sovereignty and substantive control. While the DRC technically owns its resources, the structure of concession agreements, foreign operational dominance and limited domestic processing capacity raise questions about whether this sovereignty is meaningfully exercised in practice.

Interpretations of the DRC case remain divided. One perspective views foreign investment, particularly from China, as a necessary catalyst for development. An alternative perspective characterizes the current model as a form of structural dependency, where extraction occurs without equitable benefit-sharing or sufficient safeguards for local populations.

7.2. Case Study: The Lithium Triangle (Chile, Argentina, Bolivia)

The Lithium Triangle, spanning northern Chile, northwestern Argentina and southern Bolivia, contains over 50% of the world's known lithium reserves, making it a cornerstone of the global energy transition. Lithium is a critical input for electric vehicle batteries, renewable energy storage systems and consumer electronics, positioning the region at the center of rapidly expanding global demand.

Each country in the Lithium Triangle adopts a distinct governance model. Chile maintains strong regulatory oversight with limited private participation, Argentina follows a decentralized and investment friendly approach and Bolivia has pursued the most assertive state led model, emphasizing national ownership and domestic industrialization as an explicit strategy to resist external dependency. Bolivia's approach is particularly instructive for this agenda: despite its ambitions, persistent infrastructural constraints and technological gaps have forced continued reliance on foreign partnerships, illustrating how structural dependency can persist even where political will to resist it exists.

Despite these differences, a common structural challenge persists across all three states: reliance on foreign investment, technology and global markets. External actors, including corporations and state-backed enterprises from the United States, China and the European Union, play a significant role in shaping extraction and processing dynamics, raising serious questions about whether producing states can negotiate on equal terms within global supply chains dominated by technologically and financially superior actors.

The extraction process itself presents significant environmental and social concerns. Lithium is typically extracted through brine pumping, a process that requires large-scale water consumption from underground aquifers. This disrupts fragile desert ecosystems and directly affects indigenous communities such as the Atacameño, Quechua and Aymara, whose livelihoods depend on these water systems for agriculture and subsistence.

Reports of inadequate consultation and limited participation highlight challenges in implementing UNDRIP's FPIC requirements, raising concerns regarding whether affected communities are meaningfully involved in decision-making processes.

From a legal perspective, the Lithium Triangle engages UNGA Resolution 1803 on resource sovereignty, alongside ICCPR Article 1 (self-determination) and ICESCR rights relating to livelihood and environmental sustainability. At the same time, the presence of bilateral investment treaties introduces constraints on regulatory flexibility, particularly where environmental protection measures may conflict with investor protections.

This case also reflects broader asymmetries in global value chains. While lithium is extracted in the Global South, high-value processing and battery manufacturing remain concentrated in industrialized economies, limiting developmental gains for producing states. The Lithium Triangle thus demonstrates that structural dependency is not resolved by governance variation alone, it is embedded in the architecture of global supply chains themselves.

7.3. Case Study: Nickel Mining in Indonesia

Indonesia is one of the world's largest holders of nickel reserves and the leading global producer, with nickel playing a critical role in stainless steel production and electric vehicle battery technologies. In recent years, Indonesia has pursued an assertive resource nationalism strategy, most notably through its 2020 ban on the export of raw nickel ore, aimed at promoting domestic processing and industrial development. This policy has attracted significant foreign investment, particularly from Chinese firms, which have developed large-scale smelting and processing facilities within Indonesia. The government presents this as a strategic effort to increase domestic value addition and reduce dependence on raw material exports.

However, Indonesia's export restrictions have also generated international legal disputes. The European Union challenged the policy at the World Trade Organization (WTO), arguing that it violates global trade rules on export restrictions. This highlights a key tension between a state's sovereign right to pursue industrial policy and its obligations under international trade law, illustrating how the assertion of resource nationalism can itself become a site of legal contestation within the existing international economic order.

While the policy has contributed to the growth of domestic processing capacity, it has also created new dependencies, particularly on foreign capital, technology and expertise in downstream industries. This suggests that moving up the value chain does not automatically translate into genuine economic autonomy.

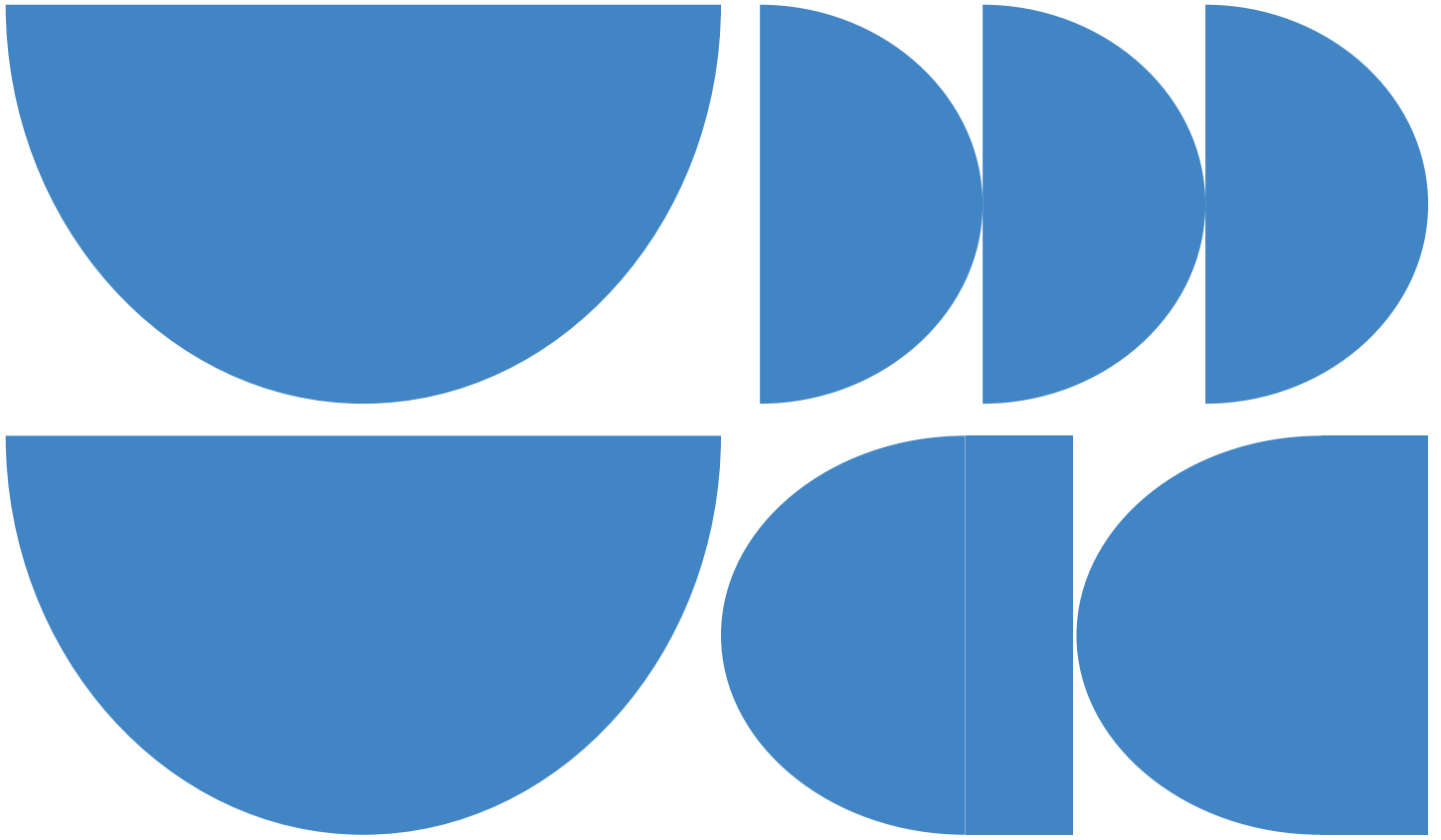
At the same time, the rapid expansion of mining and processing activities has raised environmental and social concerns. Reports indicate deforestation, marine pollution and disruption of local livelihoods in regions such as Sulawesi. Labor conditions in some industrial zones have also been criticized, particularly with respect to worker safety and rights.

From a legal perspective, Indonesia's approach reflects the exercise of permanent sovereignty over natural resources under UNGA Resolution 1803, as well as ICCPR Article 1 on economic self-determination. The WTO dispute highlights a core tension between a state's right to control its natural resources and the constraints of international trade law. When sovereign industrial policies face legal challenges, they effectively restrict the developmental options of resource-rich states, reflecting the neo-imperialist dynamics at the heart of this issue. Locally, these impacts also engage the ICESCR, particularly in terms of environmental health and labor conditions.

Indonesia represents an evolving model in which a state actively seeks to move up the global value chain. However, its experience demonstrates that such efforts operate within a complex framework of global trade rules, investment dependencies and environmental constraints.

8. Questions to consider:

- How should the normative hierarchy between resource sovereignty and investor protection be formally settled in international law?
- What could be done to guarantee independent, publicly funded environmental assessment as a precondition of project approval in developing states?
- State development banks, export credit agencies and sovereign wealth funds de-risk and directly participate in extraction blurring the boundary between state and corporate actors. How should state-equivalent accountability obligations be made more efficient on state-backed corporations operating in the extractive sector?
- How can the principle of Free, Prior and Informed Consent (FPIC) be operationalized in a manner that is legally enforceable while ensuring meaningful participation of indigenous communities across diverse legal systems?
- How can producing states build sufficient multilateral coalition power to compel reforms against the institutional resistance of processing-dominant economies?
- What governance interventions at the pre-concession stage could make Indigenous communities participation substantive rather than procedural against large corporations?
- The DRC holds 70% of global cobalt reserves yet captures a marginal share of value produced from those reserves while Guinea holds nearly half of global bauxite yet exports primarily unprocessed ore. What binding international instruments, rather than voluntary frameworks, could structurally incentivize in-country processing and transfer of refining technology?



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**Thank
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